

Illustration by SIDDHANT JUMDE

When the rates go down, those who saved earlier during the higher interest period rejoice. Chances are they still continue in these instruments for the assured returns. Moreover, some schemes also come with tax saving incentives, which makes them attractive for those seeking a dual benefit (see *Tax savings with Small Savings*).

SMALL SAVINGS, SMART STRATEGY

For scores of Indians with not-so-good financial literacy, the small savings instruments offer a crude but effective way to enhance their savings. As most of them are risk-averse—even at the cost of seeing their money lose its worth—they are devoted to the guaranteed returns provided by small savings. At present, the CPI (consumer price index) inflation hovers at around 7.4 per cent, which means any financial instrument with returns lower than this does not meet inflation levels, hence eroding the real worth of the money invested.

At present ,only the Senior Citizens Savings Scheme (SCSS) and the Sukanya Samriddhi Yojana (SSY) scheme offer returns above 7.4 per cent, and both these instruments come with a lock-in, which means they aren't liquid enough. Yet, small savers swear by keeping their money in small savings. One reason other than the simplicity of its structure is that many use these for clear income replacement objective. For instance, the National Savings Certificate (NSC), which has a five-year lock-in, can be used to create a clear income stream if planned well.

Say you put Rs 12,500 a month in the NSC over a 10-year period at age 50, then from age 55, each of the five-year monthly investments would come up for maturity. Now, if this sum is re-invested and an additional Rs 12,500 invested from age 60 to age 65, you will have a guaranteed income stream when you retire. Considering the predictability of income that one looks for in retirement, small savings instruments come in handy to provide for this confirmed money flow.

USE SMALL SAVINGS AS AN OPPORTUNITY TO BENEFIT WHEN THE GUARANTEED RETURNS ARE HIGH, ELSE YOUR SAVINGS WOULD BE TOO SMALL AND MEANINGLESS

The PPF is also a popular instrument that comes in handy as long-term savings with its 15-year lock-in. Here, on completion of the lock-in, one can continue to have the account for further blocks of five years with contribution or without fresh contribution. By this time, there are partial withdrawal provisions within the PPF that can be used smartly to create a tax-free income stream because maturity from PPF is exempt from income tax. Such simple structure of deposits find favour among people averse to putting money in other market-linked instruments.

The popularity of small savings is understandable among the elderly and those who benefited from these schemes when the interest rate on these instruments was much higher and inflation much lower. However, with inflation eating into the stated returns on small savings, small savers should consider exploring similar guaranteed return instruments such as GoI bonds issued by the central bank through the RBI Direct portal.

To tap into scores of small savers, the RBI could explore offering bonds through post offices so that people who are not internet savvy could benefit from the higher return prospects that some of the bank's bonds offer. As for people who don't believe in taking risks with their money, it is high time they understood the futility of trying to maintain their money's worth when putting money in instruments that pay less than the prevailing inflation rate. If small savings is your calling, make sure you opt for the tax-saving variety so that you at least retain your money's worth. ■

–Narayan Krishnamurthy

TAX SAVINGS WITH SMALL SAVINGS

One of the draws of small savings is the tax saving component they carry. Contributions to the NSC, PPF, SCSS and the Sukanya Samriddhi Yojana (SSY) qualify for a deduction of up to Rs 1.5 lakh per annum under Section 80C of the Income Tax Act, 1961. Among these four, the PPF and SSY fall under the EEE (tax exempt on contribution, tax exempt on the gain and tax exempt on maturity) category. Combined, these benefits make the small savings schemes attractive among taxpayers who see them as simple, easy and zero-risk financial instruments.